The Commodities Feed: US-Iran peace deal hopes

Energy markets sold off sharply on Wednesday on de-escalation hopes in the Middle East. Prices later stabilised, but volatility remains elevated

Oil prices steadied this morning at around $100 a barrel

Energy – Oil and gas plunge

Oil and gas prices fell sharply on Wednesday as Iran considered a new US proposal to end the conflict, raising hopes that flows through the Strait of Hormuz could gradually resume. Brent dropped below $100/bbl to trade at $96 a barrel at one point, and European gas also slumped as the market priced in a lower risk of prolonged disruption to Middle Eastern energy flows. But oil prices steadied Thursday morning around $100 a barrel, after losing almost 8% in the previous session.

The US proposal is understood to include a one-page memorandum that would, if accepted by Iran, lead to a gradual reopening of Hormuz and the lifting of US restrictions on access to Iranian ports. Iran is expected to respond through a mediator in the coming days, although no agreement has been reached and more detailed negotiations, including on Iran's nuclear programme, would still follow.

The sell-off partly unwinds the conflict-driven rally in energy prices, but losses were pared as the market remains cautious. Crude inventories in the US continue to tighten, while buyers have become more reliant on US barrels to offset disrupted Middle Eastern supply.

EIA data showed US commercial crude inventories fell by 2.3m barrels last week, smaller than the 8.1m-barrel draw reported by the API and slightly below market expectations of a 2.4m-barrel decline. The modest draw reflected a sharp fall in exports, which dropped by 1.7m b/d WoW after hitting a record high the previous week. Crude imports also declined, falling by 273k b/d to 5.5m b/d. Refinery utilisation edged higher, up 0.5pp WoW, with crude runs averaging around 16m b/d. Cushing inventories fell by 648k barrels.

Refined products also saw draws, with gasoline stocks down 2.5m barrels and distillate inventories lower by 1.3m barrels, supported by steady demand. However, elevated gasoline prices could weigh on consumption ahead, despite a modest uptick in the four week average of implied demand.

In OPEC production, preliminary data for April are emerging. Bloomberg's OPEC survey shows group output fell by 420k b/d MoM to 20.55m b/d, the lowest since 1990. The decline was led by Kuwait (-470k b/d) and Iran (-180k b/d), following a sharp contraction in March. The reductions reflect ongoing war related disruptions and constrained exports through the Strait of Hormuz. The UAE, which exited OPEC effective 1 May, is still included in the April figures.

Meanwhile, US natural gas prices remained subdued, with Henry Hub hovering around $2.7/MMBtu on Thursday morning. Sentiment continues to be weighed down by weaker LNG feedgas flows and storage levels well above the five year average. Hopes for a US–Iran agreement have added to the pressure. The market expects the EIA to report a storage build of around 72Bcf in the latest weekly data.

Energy markets are likely to remain headline-driven. A deal that restores traffic through Hormuz would reduce the supply-risk premium, but any delay or setback in talks could quickly put upward pressure back on oil and gas prices.

Metals – Rally on peace hopes

Industrial metals rallied during Wednesday's trading session as signs of progress towards a US-Iran deal improved risk appetite and eased fears of a broader energy shock. However, prices pared back gains Thursday morning as the market awaits Iran's reply to the US proposal.

The move reflects reduced concern that higher energy prices will weigh on global manufacturing activity. However, supply risks have not fully disappeared. Traffic through the Strait of Hormuz remains disrupted, while Middle East-related supply issues continue to affect parts of the metals chain, including aluminium flows and sulphuric acid availability for copper production.

Copper is likely to stay driven by the balance between geopolitical headlines and underlying demand concerns. A sustained de-escalation would support risk appetite and ease cost pressures, but any renewed disruption around Hormuz would keep supply risks in focus.

Gold and silver also rallied as hopes of a US-Iran deal pushed oil prices lower and eased inflation concerns. Lower energy prices weighed on yields, while the dollar stayed around pre-war levels, supporting non-yielding assets.

Gold jumped 3%, climbing back above $4,700/oz, reversing part of its recent war-driven weakness. The potential easing in energy prices gives the Fed more room to cut rates, which is positive for gold. Silver outperformed, supported by lower yields and stronger risk appetite.

Precious metals will remain sensitive to US-Iran headlines, oil prices and Fed rate expectations. A sustained fall in energy prices would keep gold and silver supported, while any setback in talks could reverse part of the move.

Agriculture – Sugar prices fall as weaker oil drags on ethanol demand

Sugar prices dropped sharply, with No.11 raw sugar down around 6% intraday, tracking softer crude oil prices. The pullback in oil, driven by easing US-Iran tensions, has weakened ethanol margins, increasing the likelihood that mills divert more cane towards sugar production. Sentiment was also weighed down by softer Chinese demand, with raw sugar imports expected to fall to below 3.5mt in 2026, down from around 5mt last year, reflecting higher domestic output and stable consumption.

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